

ABC BANK

Financial Risk Classification System

BUSINESS REQUIREMENTS DOCUMENT (BRD)

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Project Sponsor	Chief Risk Officer, ABC Bank
Prepared By	Business Analysis Team, ABC Bank
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1. Document Control

1.1 Version History

Version	Date	Author	Description of Change
0.1	10-Jul-2026	Business Analysis Team	Initial draft for internal review
0.2	18-Jul-2026	Business Analysis Team	Incorporated feedback from Risk & Credit teams
1.0	29-Jul-2026	Business Analysis Team	Baseline version circulated for stakeholder approval

1.2 Approvals

The following stakeholders are required to review and formally approve this Business Requirements Document prior to the commencement of the design and development phases. Approval indicates agreement that the document accurately captures the business need and requirements for the Financial Risk Classification System.

Name / Role	Title	Department	Approval Status	Signature & Date
Chief Risk Officer	Project Sponsor	Risk Management	Pending	
Head of Credit & Lending	Business Owner	Credit / Lending	Pending	
Head of IT / CIO	Technology Sponsor	Information Technology	Pending	
Compliance Officer	Regulatory Approver	Compliance & Legal	Pending	
Head of Operations	Process Owner	Loan Operations	Pending	
Project Manager	Delivery Owner	PMO	Pending	
Lead Business Analyst	Document Owner	Business Analysis	Pending	

2. Introduction

2.1 Business Context

ABC Bank has experienced a steady increase in loan defaults over the past few years, resulting in growing financial losses and rising operational costs. The current loan evaluation process is largely manual and relies on basic eligibility checks, which makes it difficult to consistently and accurately identify high-risk applicants before loans are approved. As the volume of loan applications continues to grow, the existing process has become time-consuming, inconsistent across loan officers, and prone to human error.

To address these challenges, ABC Bank intends to implement a Financial Risk Classification system that analyzes customer financial information and classifies loan applicants according to their risk level. The system will use historical customer data together with predefined business rules to support loan officers in making faster, more consistent, and better-informed lending decisions.

2.2 Purpose of this Document

This Business Requirements Document (BRD) defines the business need, scope, stakeholders, functional and non-functional requirements, assumptions, constraints, and risks associated with the Financial Risk Classification System. It serves as the primary reference point for business stakeholders, project sponsors, and the solution delivery team to build shared agreement on what the solution must achieve before technical design begins.

This document is intended to:

- Provide a single, agreed source of business requirements for the project.
- Serve as the basis for solution design, development, and testing.
- Establish a baseline against which scope changes can be evaluated and managed.
- Support traceability between business objectives and delivered functionality.

2.3 Intended Audience

This document is intended for business stakeholders, project sponsors, the Business Analysis team, Solution Architects, Development and QA teams, Compliance and Risk functions, and any other party involved in the review, approval, design, or delivery of the Financial Risk Classification System.

3. Business Objectives

The objective of this project is to provide business stakeholders with a data-driven decision support system that enhances risk assessment, minimizes loan defaults, ensures consistent evaluation of applicants, and supports sustainable business growth while maintaining customer satisfaction. Specific business objectives are:

1. Reduce the loan default rate by improving the accuracy and consistency of risk assessment at the point of application.
2. Reduce the average time taken to evaluate and approve or decline a loan application.
3. Standardize risk evaluation criteria across all branches and loan officers to eliminate inconsistent, subjective decision-making.
4. Provide loan officers and credit committees with a clear, explainable risk classification to support informed lending decisions.
5. Reduce operational costs associated with manual assessment, rework, and loan recovery efforts.
6. Establish a foundation of historical, structured risk data that can be used for ongoing monitoring and future portfolio analysis.
7. Maintain a fair, transparent, and auditable evaluation process that supports regulatory and compliance requirements.

3.1 Success Criteria / Key Performance Indicators

KPI	Baseline (Current State)	Target (Post-Implementation)
Loan default rate	To be measured at project baseline	Measurable reduction within 12 months of go-live
Average loan evaluation turnaround time	Current manual process timing (baseline TBD)	Reduced turnaround time per application
Consistency of risk classification across branches	Not currently measured / manual and subjective	Standardized, rule-based classification for all applications
Percentage of applications with documented risk rationale	Partial / inconsistent	100% of applications carry a system-generated risk classification and rationale
Audit findings related to loan evaluation inconsistency	Existing baseline from internal audit	Reduction in audit findings related to inconsistent evaluation

4. Project Scope

4.1 In Scope

The following items are within the scope of the Financial Risk Classification System project:

- Capture and consolidation of customer financial information relevant to risk evaluation (e.g., income, existing liabilities, repayment history, employment details) from existing bank systems and application data.
- Application of predefined, configurable business rules and historical customer data to classify loan applicants into defined risk categories.
- Presentation of the risk classification and supporting rationale to loan officers and credit committees as a decision-support input during loan evaluation.
- Role-based access to the risk classification system for authorized users (loan officers, credit committee members, risk analysts, administrators, auditors).
- Maintenance of an auditable record of each risk classification decision, including the data and rules applied, for compliance and audit purposes.
- Administration capability for authorized users to view, and where governed by change control, propose updates to classification business rules and risk thresholds.
- Reporting and dashboards summarizing risk classification outcomes for management review.
- Integration with existing core banking / loan origination systems required to source applicant data and return the risk classification.
- User training and documentation to support adoption by loan officers and risk staff.

4.2 Out of Scope

The following items are explicitly excluded from the current phase of this project:

- Automated, unconditional approval or rejection of loan applications — the system supports the decision; final approval authority remains with authorized bank personnel per existing lending policy.
- Origination and servicing of new loan products not currently offered by ABC Bank.
- Collections and recovery process automation for accounts already in default.
- Customer-facing self-service risk assessment or credit scoring tools.
- Replacement of the bank's core banking system, credit bureau interfaces, or loan origination system — the solution will integrate with, not replace, these systems.
- Predictive machine-learning model development beyond the use of historical data and predefined business rules described in this document, unless separately scoped and approved.

- Third-party credit bureau scoring methodology changes.

Note: Any request to introduce functionality listed as out of scope must be raised as a formal change request and evaluated for impact on timeline, cost, and resourcing before being incorporated into project scope.

5. Stakeholders

The table below identifies the key stakeholders involved in, or affected by, the Financial Risk Classification System, along with their role and interest in the project.

Stakeholder	Department	Role / Interest in Project
Chief Risk Officer	Risk Management	Project Sponsor; accountable for overall risk strategy and acceptance of the solution
Head of Credit & Lending	Credit / Lending	Business Owner; defines lending policy and risk appetite reflected in business rules
Loan Officers	Branch / Lending Operations	Primary end users; use risk classification output to evaluate applications
Credit Committee Members	Credit / Lending	Use risk classification as input to loan approval decisions for higher-value applications
Risk Analysts	Risk Management	Define and maintain risk classification rules, thresholds, and monitor outcomes
Compliance Officer	Compliance & Legal	Ensures classification process meets regulatory, fair-lending, and audit requirements
Head of IT / CIO	Information Technology	Technology Sponsor; accountable for solution architecture, integration, and delivery
Solution Architect / Development Team	Information Technology	Design and build the classification system and integrations
Data / IT Security Officer	Information Technology	Ensures data privacy, security, and access control requirements are met
Internal Audit	Audit	Reviews process controls and auditability of classification decisions
Customer Service / Branch Staff	Branch Operations	Indirectly affected; communicate outcomes of loan decisions to customers
Project Manager	PMO	Manages delivery timeline, budget, resourcing, and stakeholder communication
Business Analyst	Business Analysis	Elicits, documents, and validates business requirements; owns this document

Stakeholder	Department	Role / Interest in Project
Customers / Loan Applicants	External	End beneficiaries of faster, more consistent loan decisions

6. User Roles and Permissions

The following user roles have been identified for the Financial Risk Classification System. Final access levels will be confirmed during design in line with the bank's information security and segregation-of-duties policies.

Role	Description	Key Permissions
Loan Officer	Front-line staff who initiate and process loan applications	View applicant risk classification and rationale; submit application data; escalate to credit committee
Credit Committee Member	Reviews and approves higher-value or higher-risk loan applications	View risk classification, supporting data, and audit history; record approval decision
Risk Analyst	Defines and maintains risk classification logic	View and propose changes to business rules, thresholds, and risk categories, subject to approval
Risk Administrator	Approves and publishes changes to classification rules	Approve/reject rule change requests; publish approved rules to production; manage user roles
Compliance / Audit User	Monitors process for regulatory and audit purposes	Read-only access to classification decisions, rule versions, and audit logs
System Administrator	Manages technical configuration and user access	Manage user accounts, roles, system configuration, and integration settings
Branch Manager	Oversees branch-level lending activity	View aggregated risk classification outcomes and reports for their branch

7. Business Process Overview

7.1 Current (As-Is) Process

Today, loan applications are evaluated primarily through manual assessment by loan officers using basic eligibility checks. Financial information is gathered and reviewed largely by hand, risk judgment is applied inconsistently between individuals and branches, and there is no standardized, system-generated risk classification to support the decision. This results in longer processing times, inconsistent outcomes, and increased exposure to high-risk applicants who may not be reliably identified before loan approval.

7.2 Proposed (To-Be) Process

Under the proposed process, the Financial Risk Classification System will analyze each applicant's financial information at the point of evaluation and generate a standardized risk classification using historical data and predefined business rules. The high-level proposed process is as follows:

8. Loan Officer initiates a loan application and captures/collects required applicant financial information.
9. The system consolidates applicant data from relevant source systems (e.g., core banking, credit bureau, application form).
10. The Financial Risk Classification engine evaluates the applicant's data against predefined business rules and historical risk indicators.
11. The system generates a risk classification (e.g., Low, Medium, High Risk) together with supporting rationale.
12. The Loan Officer reviews the classification alongside existing eligibility checks and bank lending policy.
13. For applications meeting defined thresholds (e.g., high value or high risk), the application is routed to the Credit Committee for further review, informed by the system's classification.
14. A final lending decision (approve, decline, refer, or request further information) is made and recorded by the authorized decision-maker.
15. The risk classification, supporting data, and final decision are logged for audit and future reporting purposes.

Note: The Financial Risk Classification System is a decision-support tool. It does not replace the judgment or authority of loan officers or the credit committee, and final lending decisions remain with authorized bank personnel in accordance with existing lending policy.

8. Functional Requirements

The functional requirements below describe the capabilities the Financial Risk Classification System must deliver. Each requirement is uniquely identified for traceability through design, development, and testing.

8.1 Data Capture and Consolidation

ID	Requirement	Priority
FR-01	The system shall capture and consolidate applicant financial information (e.g., income, existing liabilities, employment status, repayment history) required for risk evaluation.	Must Have
FR-02	The system shall retrieve relevant historical customer data from existing bank systems where the customer has an existing relationship with ABC Bank.	Must Have

ID	Requirement	Priority
FR-03	The system shall validate that mandatory financial data fields are complete before a risk classification is generated.	Must Have
FR-04	The system shall flag and report incomplete or inconsistent applicant data to the Loan Officer for correction prior to classification.	Should Have

8.2 Risk Classification Engine

ID	Requirement	Priority
FR-05	The system shall classify each loan applicant into a defined risk category (e.g., Low, Medium, High Risk) based on predefined business rules applied to applicant financial data and historical information.	Must Have
FR-06	The system shall provide the rationale and key contributing factors behind each risk classification generated.	Must Have
FR-07	The system shall allow authorized Risk Analysts to define, view, and propose updates to the business rules and thresholds used in risk classification.	Must Have
FR-08	The system shall require formal approval by an authorized Risk Administrator before any change to classification rules is published to the production environment.	Must Have
FR-09	The system shall maintain a version history of all business rule changes, including who made the change, when, and the reason for the change.	Must Have
FR-10	The system shall re-evaluate and update an applicant's risk classification if underlying financial information is updated prior to a final lending decision.	Should Have

8.3 Decision Support and Workflow

ID	Requirement	Priority
FR-11	The system shall present the risk classification and supporting rationale to the Loan Officer as part of the loan evaluation workflow.	Must Have
FR-12	The system shall automatically route applications that meet predefined risk or value thresholds to the Credit Committee for additional review.	Must Have
FR-13	The system shall allow authorized users to record the final lending decision (approve, decline, refer, request more information) against the application.	Must Have
FR-14	The system shall notify relevant stakeholders (e.g., Loan Officer, Credit Committee) when an application requires their action.	Should Have

8.4 Audit, Reporting, and Administration

ID	Requirement	Priority
FR-15	The system shall maintain an auditable log of every risk classification decision, including the data inputs, rules version applied, classification result, and rationale.	Must Have
FR-16	The system shall maintain an auditable log of the final lending decision and the identity of the decision-maker for each application.	Must Have
FR-17	The system shall provide role-based access control, restricting functionality and data visibility according to user role.	Must Have
FR-18	The system shall provide management reporting and dashboards summarizing risk classification volumes, outcomes, and trends over a selected period.	Should Have
FR-19	The system shall allow authorized administrators to manage user accounts, roles, and permissions.	Must Have
FR-20	The system shall allow authorized users to search for and retrieve the risk classification history and decision record of a specific application or customer.	Should Have

9. Non-Functional Requirements

ID	Category	Requirement
NFR-01	Performance	The system shall generate a risk classification result within an acceptable response time to avoid delay to the loan officer's workflow, to be defined and agreed during design.
NFR-02	Availability	The system shall be available during ABC Bank's standard business operating hours, with planned maintenance windows communicated in advance.
NFR-03	Security	The system shall enforce role-based access control and ensure that sensitive customer financial data is encrypted in transit and at rest.
NFR-04	Data Privacy	The system shall handle and store customer financial data in accordance with applicable data protection and banking privacy regulations.
NFR-05	Auditability	All risk classification decisions, rule changes, and lending decisions shall be logged and retained in a manner that supports internal and regulatory audit requirements.
NFR-06	Usability	The system shall present risk classification results and rationale in a clear, understandable format for non-technical users such as loan officers.

ID	Category	Requirement
NFR-07	Scalability	The system shall support the current and projected volume of loan applications without degradation in performance.
NFR-08	Reliability	The system shall produce consistent classification results for identical input data, ensuring repeatability of outcomes.
NFR-09	Compliance	The system shall support fair-lending and anti-discrimination requirements by basing classification solely on approved financial and risk-relevant criteria.
NFR-10	Maintainability	Business rules and risk thresholds shall be configurable by authorized users without requiring source code changes or vendor engagement.
NFR-11	Integration	The system shall integrate with existing core banking, loan origination, and credit bureau systems using standard, supported interfaces.
NFR-12	Disaster Recovery	The system shall be included in ABC Bank's business continuity and disaster recovery plan, with defined recovery time and recovery point objectives.

10. Data Requirements

The Financial Risk Classification System requires access to accurate and timely customer financial data. Key data requirements include:

- Applicant identification and demographic data required to link applications to existing customer records.
- Income and employment information provided by the applicant or verified through supporting documentation.
- Existing liabilities and credit obligations, including data available from internal systems and external credit bureaus, where applicable.
- Historical repayment and account conduct data for existing ABC Bank customers.
- Loan application details, including product type, requested amount, and tenure.
- Business rule and threshold configuration data used by the classification engine.

Data quality, completeness, and source-system availability are critical dependencies for the accuracy of the risk classification output. Data governance and data quality validation requirements will be further defined during the design phase in consultation with the Data / IT Security Officer.

11. Assumptions

This document has been prepared based on the following assumptions. These assumptions should be validated during subsequent project phases and updated if found to be inaccurate.

- Historical customer financial and repayment data required for risk classification is available in existing bank systems in a usable format.
- Existing core banking, loan origination, and credit bureau systems can support the required integrations without major re-architecture.
- Business rules and risk thresholds for classification will be defined and provided by the Risk Management function in a form that can be configured within the system.
- The Financial Risk Classification System will function as a decision-support tool; final lending authority remains with authorized bank personnel.
- Loan officers and credit committee members will receive adequate training prior to go-live.
- Adequate infrastructure, budget, and resourcing will be made available to support project delivery within the agreed timeline.
- Regulatory and compliance requirements applicable to automated/rule-based risk classification will be confirmed by the Compliance function prior to design finalization.

12. Constraints

- The solution must integrate with ABC Bank's existing core banking and loan origination systems rather than replace them.
- The solution must comply with ABC Bank's existing data security, data privacy, and information security policies.
- The solution must comply with applicable banking regulations, including fair-lending and anti-discrimination requirements, in the jurisdictions in which ABC Bank operates.
- Project delivery is constrained by the budget and timeline approved by the project sponsor and steering committee.
- Availability of historical data may be limited for newer customers with no prior relationship with ABC Bank, which may constrain classification accuracy for such applicants.
- Changes to classification business rules must follow the bank's formal change control and approval process.

13. Risks

ID	Risk Description	Likelihood	Impact	Mitigation Strategy
R-01	Incomplete or poor-quality historical data reduces the accuracy of risk classification.	Medium	High	Conduct data quality assessment early; define minimum data requirements and validation rules before go-live.
R-02	Business rules do not adequately reflect the bank's actual risk appetite, leading to misclassification.	Medium	High	Involve Risk Management and Credit teams in rule definition, review, and sign-off; pilot before full rollout.
R-03	Integration issues with core banking, loan origination, or credit bureau systems delay delivery.	Medium	Medium	Conduct early technical assessment of integration points; engage IT and vendor teams during design phase.
R-04	Regulatory or compliance concerns arise regarding automated/rule-based risk classification (e.g., fair lending).	Low	High	Engage Compliance and Legal early; document classification rationale for auditability and regulatory review.
R-05	Low user adoption due to insufficient training or resistance to change among loan officers.	Medium	Medium	Develop a structured change management and training plan; involve end users during design and UAT.
R-06	Scope creep resulting from stakeholders requesting features beyond the agreed scope.	Medium	Medium	Enforce formal change control process; require sponsor approval for scope changes.
R-07	Data privacy or security breach involving sensitive customer financial data.	Low	High	Apply role-based access control, encryption, and regular security review in line with bank policy.

14. Dependencies

- Availability and cooperation of IT teams to provide access to core banking, loan origination, and credit bureau integration points.
- Timely definition and sign-off of risk classification business rules and thresholds by the Risk Management and Credit functions.
- Availability of historical customer data of sufficient quality to support rule-based classification.
- Confirmation of regulatory and compliance requirements by the Compliance function prior to solution design finalization.
- Availability of business stakeholders for requirements validation, User Acceptance Testing (UAT), and training.
- Infrastructure provisioning and environment availability from the Information Technology function.

15. Glossary of Terms

Term	Definition
BRD	Business Requirements Document - this document, describing the business need and requirements for the project.
Risk Classification	The categorization of a loan applicant (e.g., Low, Medium, High Risk) based on analysis of financial and historical data.
Loan Default	Failure by a borrower to meet the repayment terms of a loan agreement.
Credit Committee	A group of authorized bank personnel responsible for reviewing and approving loan applications that meet defined thresholds.
Business Rules	Predefined logic and criteria used by the system to evaluate applicant data and determine a risk classification.
Loan Origination System (LOS)	The existing system used by ABC Bank to manage the intake and processing of loan applications.
Core Banking System	The central system used by ABC Bank to manage customer accounts and banking transactions.
UAT	User Acceptance Testing - the phase in which business users validate that the delivered solution meets requirements.
KPI	Key Performance Indicator - a measurable value used to evaluate the success of the project against defined objectives.
Risk Appetite	The level and type of risk that ABC Bank is willing to accept in pursuit of its business objectives.

Term	Definition
Fair Lending	Regulatory principles requiring that lending decisions are made without unlawful discrimination.
RBAC	Role-Based Access Control - restricting system access and functionality based on a user's assigned role.

16. Related Documents

The following documents are related to, or should be read in conjunction with, this Business Requirements Document. These will be maintained and updated throughout the project lifecycle.

Document	Description	Status
Project Charter	Defines the project's objectives, sponsor, high-level scope, and authorization to proceed.	To be developed / referenced
Current State (As-Is) Process Documentation	Documents the existing manual loan evaluation process.	To be developed
Functional Requirements Specification (FRS)	Detailed technical elaboration of the functional requirements defined in this BRD.	To be developed
Data Mapping and Integration Design Document	Details data sources, mappings, and integration specifications with core banking / LOS / credit bureau systems.	To be developed
Risk Classification Business Rules Catalogue	Detailed catalogue of business rules, thresholds, and risk categories maintained by Risk Management.	To be developed
Test Strategy and UAT Plan	Defines the approach for system testing and user acceptance testing.	To be developed
Data Privacy Impact Assessment	Assessment of data privacy implications, prepared with Compliance / Legal.	To be developed
Training and Change Management Plan	Defines the approach to user training and organizational change management.	To be developed
Existing Lending Policy Manual	ABC Bank's current lending policy, used as a reference for business rule definition.	Existing document

17. Requirements Sign-Off

By signing below, the approver confirms that they have reviewed this Business Requirements Document and agree that it accurately reflects the business requirements for the Financial Risk Classification System. Approval authorizes the project team to proceed to the solution design phase based on the requirements documented herein.

Name	Role	Signature	Date
	Project Sponsor (CRO)		
	Business Owner (Head of Credit & Lending)		
	Technology Sponsor (CIO)		
	Compliance Officer		
	Project Manager		

18. Appendix

18.1 Assumptions Requiring Further Validation

The following items require further validation with relevant stakeholders during the elaboration and design phases:

- Exact data fields and formats available from existing core banking, LOS, and credit bureau systems.
- Detailed risk classification categories and specific threshold values (to be finalized by Risk Management).
- Applicable regulatory obligations specific to the jurisdictions in which ABC Bank operates.
- Target response time and volume benchmarks for the risk classification engine.

18.2 Document Approval Reference

This document, once approved as per Section 17, forms the agreed baseline of business requirements. Any subsequent changes to scope or requirements must be managed through the project's formal change control process and reflected in a revised, re-approved version of this document.